

Creating scarcity

The value of a collectible increases with scarcity. In a physical market, scarcity is inevitable at some point of time. Products get sold out, technologies get phased out, fashions change—it just happens with time. However, digital creations usually have a huge or infinite supply. For example, an audio track can be downloaded any number of times, and any number of years later from some web source. NFTs aim to create digital scarcity to increase the value of associated assets. NFTs that are rare and few have a greater value than those that are mass-minted. So, when the NFT is no longer available in the primary market, its value in the secondary market increases, especially if it is something that people want to own.

Here is the story of someone who took this concept too seriously! In March 2021, a group of private investors purchased Banksy's 'Morons' for nearly \$100,000. They digitised and minted this as an NFT. They then burnt the original print in a live-streamed video and put up the NFT for sale. It sold for approximately \$380,000!

Ironically, 'Morons' by graffiti artist Banksy depicts a Christie's auctioneer pointing at framed paintings in a crowded auction room. Next to him is a framed image accompanied by a phrase including the words, "I can't believe you morons actually buy this!"

banner NBA Top Shot. These are basically NFT trading cards embedded with notable basketball moments. After tasting success, they are now expanding into NFTs of virtual jewelry, accessories and clothing that can be used across social media.

Cricotos is a series of official digital collectibles being launched by the International Cricket Council in association with FanCraze, which aims to build the ultimate cricket metaverse. Cricotos gives fans a chance to own pieces of cricketing history. Different levels of Cricotos are minted—ranging from common (extensively minted) to Genesis (the rarest ones). Each represents a highlight-worthy event in cricketing history. The current collections include clips from ICC World Cup 2015 and 2019. The packs are dropped on FanCraze.

"NFTs are a golden money-making opportunity for the sports industry and also a great way for sports fans to engage with their favourite teams, athletes, and historical moments. People have always loved to own sports collectibles," says James Green, Group Investment Director at deVere, which has recently launched the dV Gems Platform to help clients identify and invest in winning NFTs.

Avatars

According to CoinMarketCap, the top seven NFT collections by market cap are avatar NFTs—headshots of cartoon characters or pixelated people. The most popular of these collections are CryptoPunks, Bored Ape Yacht Club

(BAYC), and Pudgy Penguins. Quite a few studies show that avatar NFTs are overtaking metaverse game assets, fine art pieces, and sports NFTs.

Avatar NFTs can be your digital profile in the metaverse—across virtual worlds and social media platforms. Twitter, for example, lets you sport your avatar if you own one, so it becomes like a trendy and tech-savvy status symbol for many! Tonight Show host Jimmy Fallon and Grammy-winning producer Timbaland have Bored Ape NFTs as their Twitter profile pics, along with many other celebrities. Last year, Visa purchased a CryptoPunk avatar for \$150,000, and Adidas purchased an Adidas-clad ape named Indigo Herz from BAYC, which is one of the key collaborators in Adidas' NFT projects.

You can get membership to the BAYC by purchasing one of 10,000 ape profile picture NFTs, which cost at least \$200,000 each. The membership gives you access to exclusive features, product drops, and events

too. It allows users to mint art for the group. It gives IP control to the community, thereby having an unending source of fresh ideas. Primary and secondary resell rights ensure that the artists get paid for their efforts.

In-game assets

NFTs enable you to own characters or items on gaming platforms and virtual worlds. In-game assets come in many forms—ranging from creatures in Axie Infinity and trading cards in Gods Unchained to virtual real estate in Decentraland. Gaming platforms often use tokens to reward players. In the play-to-earn model followed by platforms like Axie Infinity, you earn NFT rewards within the game, which you can monetise by selling in secondary markets.

With gaming platforms growing in scale to become virtual worlds with thriving marketplaces, real-world brands are also entering the space and selling their wares. You can, for example, buy virtual sneakers from Nike or Adidas for your avatar to wear in the virtual world.

The trend is advancing towards interoperable NFTs that enable cross-platform playability. You can take your NFTs along with you to other platforms to create personalised experiences or for trading. The Enjin generic axe is one such gaming NFT that you can take along to multiple platforms!

"NFTs are a standard protocol, so they can be traded across NFT marketplaces as long as the wallet holding

Showcasing (showing off?) your treasures

Some collectors are secretive about their collections, while others love to flaunt it. One visit to the GD Naidu Car Museum in Coimbatore, and you will instantly understand what I mean. The flair with which the vintage cars are displayed resonates the pride of the collector. So, if you have collected a couple of good NFTs and want to display them, where would you and how would you?

- You can print, frame, and hang the NFT on a cosy wall in your house, if the contract permits.
- You can display the NFTs in digital marketplaces.
- You could download and install an app like token.art that lets you view NFTs easily on your phone. Most wallet apps also let you do that.
- If you own some space on the metaverse in virtual worlds like Decentraland or Cryptovoxels, you can display your NFTs there.
- You can use software platforms like Samsung Smartthings or Tokencast to download NFTs from your wallet and view them on state-of-the-art televisions.
- However, if you have a good collection, the best option might be to invest in a suave and smart NFT display with direct wallet integration, like Netgear's Meural, Lago's NFT Frame, Blockframe, or Tokenframe.